

That sounded a little strange. Why would an oil company decide to go into the computer business? Petroleum Acreage Corp. was selling that day at 19/32 bid, it turned out, not a typical price for a classy company. A look in our reference material disclosed that Petroleum Acreage had been in business for less than three years, having gone public in April 1981 at \$1 a share. The company had incorporated on November 5, 1980. That was an interesting date—within thirty days of the end of the 1980 superboom in oil stocks! Here was a company formed to exploit one stock market boom, coming to market near the top for the energy stocks, now switching into another hot-stock industry, personal computers.

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I considered that announcement a clear warning that personal computer stocks were near their high. We sold some of our holdings and should have dumped more. If you had bought a representative package of microcomputer stocks on July 25, the day that Petroleum Acreage Corp. of Texas announced its entry into the field, by the end of the year you would have lost about a third of your money. If you can see where the con men are flocking, you can tell which groups have become too popular and are probably about to peak.

Niche Knacks

Do I ever buy a stock just because I like the company and the stock's price, even if no theme is evident? Sure. I'm not going to turn away